

in the market, by either providing the service directly, or, less often, inducing others to enter to do so.

'The business of business is business,' goes a pithy aphorism, variously attributed to Milton Friedman and Alfred Sloan. Its interpretation, however, requires introspection in the developing world. There might be no business if one adheres to a doctrinaire view of this statement. Companies invariably find themselves compensating by, for example, providing back-up emergency electricity generation services, feeder roads to connect to the main road network, makeshift health or primary education facilities, etc. In fact, in a statistical analysis that I carried out with Professor Raymond Fisman of Columbia University some years ago, we showed that companies that are able and willing to fill such institutional voids, especially in lesser developed parts of India, are amply rewarded (even in a narrow accounting returns sense) for their efforts.

But I would go further than this. Business is also responsible, I aver, when other societal mechanisms cannot respond in times of need. What would have happened if, for example, companies had not responded after Haiti's devastating earthquake early this year, scourge of that hapless island nation and cause of an estimated 2,30,000 tragic deaths? Global power company AES, headquartered in the Washington DC, and with assets in Haiti's neighbour, the Dominican Republic, organised massive relief efforts (AES has no business interests in Haiti). My intuition is that over and above this being simply the morally right thing to do, companies operate with an implicit societal compact, and part of that compact is to respond in times of need, when no other institutional mechanism—namely the state and civil society in this instance—are operative.

In all these cases, companies must contemplate the partial provision of

public infrastructure. In the long run, as the institutional voids are filled in by specialist organisations—for instance the road network develops sufficiently, healthcare becomes available as does power, the state secures private property, etc—companies can, and should, withdraw from these responsibilities, perhaps even spin off these adjunct activities. This is exactly what McDonald's did in Russia. Two decades ago, its entry into Russia required it to invest in transportation companies, farms, supply chain solutions, and a host of other services that were unavailable in the country at the time. Today a vast majority of these services are outsourced, and McDonald's has given rise to several specialist companies that have effectively filled the relevant institutional voids to the benefit of society.

Intriguingly, learning to operate within the social fabric of an emerging market can itself be a source of competitive advantage. Come back to Bharti's proposed acquisition of Zain's African assets. Is it likely that Bharti will be a better steward of these assets than say AT&T from the US, or even Telefonica or Vodafone from Europe? My conjecture is that this is so partly because Bharti has become accustomed to operating in low price-point environments, and also because it is more attuned to operating amidst a social tapestry that predisposes it to the right judgement calls associated with a broader corporate footprint.

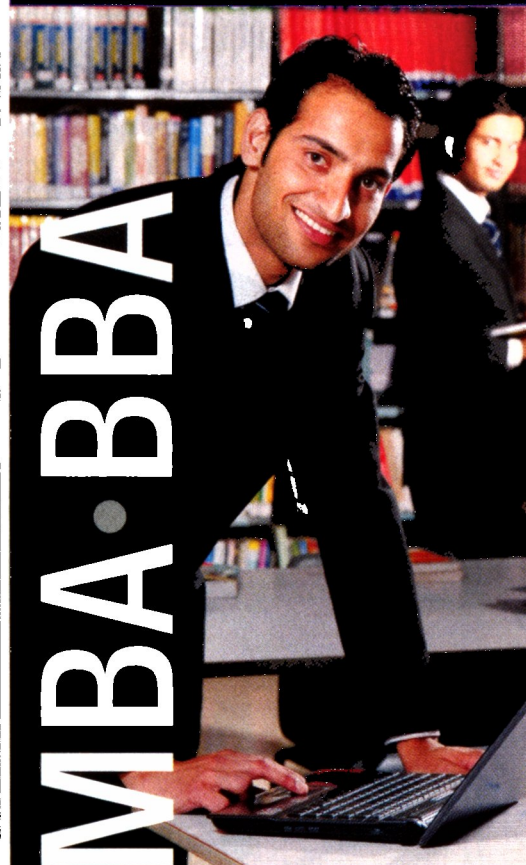
Entrepreneurs should recognise that the right thing to do is, conveniently, what will help enhance the social legitimacy of business in emerging markets.

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